



LRSD SECURITIES PRIVATE LIMITED

RELATED PARTY TRANSACTIONS POLICY

(Including Provisions for Lending to Related Parties)

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PRELIMINARY

1. Policy Statement

LRSD Securities Private Limited (hereinafter referred to as “**LRSD**” or the “**Company**”) is a Non-Banking Financial Company registered with the Reserve Bank of India and has adopted this **Related Party Transactions Policy (Including Provisions for Lending to Related Parties)** in compliance with applicable statutory and regulatory requirements.

- 1.1. The Board of Directors has formally approved this policy to ensure adherence to the provisions of the *Companies Act, 2013* and the *Reserve Bank of India (Non-Banking Financial Companies – Credit Risk Management) Amendment Directions, 2026 dated 5th January, 2026*, and other applicable regulatory provisions.
- 1.2. The Company is committed to conducting its lending activities with integrity, transparency, and prudence.
- 1.3. Related Party Transactions (RPTs) broadly cover all transactions between the Company and its related parties, including commercial, operational, and financial arrangements governed primarily by the *Companies Act, 2013* and applicable accounting standards. Lending to Related Parties is a specific subset of RPTs involving funded or non-funded credit exposure, which carries additional prudential, exposure, and supervisory implications under RBI regulations applicable to the Company.
- 1.4. Accordingly, this Policy titled “*Related Party Transactions Policy (Including Provisions for Lending to Related Parties)*” covers both aspects to ensure comprehensive governance. While the RPT framework ensures transparency and arm’s-length compliance for all related-party dealings, the lending provisions introduce enhanced prudential safeguards to manage credit risk and regulatory compliance.

2. Definitions & Interpretation

In this policy, unless the context otherwise dictates, the terms used shall carry the meanings assigned to them, including any statutory amendments or re-enactments thereof, or as commonly understood in commercial usage, as applicable.

- 2.1. “Arm’s Length” means a transaction between two Related Parties that is conducted as if they were unrelated, so that there is no conflict of interest.
- 2.2. “Contract or arrangement” shall mean contract or arrangement with a related party as specified under Section 188(1) of the Companies Act ,2013 including but not limited to-
- (a) Sale, purchase or supply of any goods or materials;
 - (b) selling or otherwise disposing of, or buying, property of any kind;
 - (c) leasing of property of any kind;
 - (d) availing or rendering of any services;
 - (e) appointment of any agent for purchase or sale of goods, materials, services or property;
 - (f) such related party's appointment to any office or place of profit in the Company, its subsidiary company or associate company; and
 - (g) underwriting the subscription of any securities or derivatives thereof, of the company;
- 2.3. “Control” shall include the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or in any other manner.
- 2.4. “Entity” in the context of a ‘related party’ shall mean a ‘person’ other than an individual and a Hindu Undivided Family.
- 2.5. “Key Managerial Personnel” or KMP in relation to the Company, means-
- (i) the Chief Executive Officer
 - (ii) the Managing Director
 - (iii) the Manager;
 - (iv) the Company Secretary;
 - (v) the Whole-Timer Director;
 - (vi) the Chief Financial Officer;
 - (vii) such other officer, not more than one level below the directors who is in whole-time employment, designated as key managerial personnel by the Board; and
 - (viii) such other officer as may be prescribed.

2.6. “Ordinary Course of Business” means a transaction which is carried out in the normal course of business envisaged in accordance with the Memorandum of Association of the Company as amended from time to time.

2.7. “Person” as defined under Section 3 (23) of Part I of Insolvency and Bankruptcy Code (IBC), 2016, includes -

- (a) an individual;
 - (b) a Hindu Undivided Family;
 - (c) a Company;
 - (d) a trust;
 - (e) a partnership;
 - (f) a limited liability partnership; and
 - (g) any other entity established under a statute,
- and includes a person resident outside India;

2.8. Personal loans refer to loans given to individuals and consist of (a) consumer credit, (b) education loan, and (c) loans given for creation/ enhancement of immovable assets (e.g., housing, etc.).

2.9. “Promoter” means a person -

- (a) who has been named as such in a prospectus or is identified by the company in the annual return; or
- (b) who has control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or
- (c) in accordance with whose advice, directions or instructions the Board of Directors of the Company is accustomed to act:

Provided that nothing in sub-clause (c) shall apply to a person who is acting merely in a professional capacity.

2.10. “Related Person” with respect to the Company shall mean a person, and the relatives of such a person, where the person:

- (a) is either a promoter, or a director, or a KMP of the Company; or
- (b) owns more than five per cent of paid-up equity share capital of the Company or can, either singly or jointly, exercise more than five per cent of the voting rights of the Company on account of either ownership or voting agreement or through shareholders’ agreement or through any other arrangement; or

(c) can, through an agreement with the Company, nominate a director to its Board;

or

(d) is either singly or jointly, in control of the Company.

2.11. “Related Party” with respect to the Company shall mean a related person or any of the following entities:

- (i) where a related person is a partner, manager, KMP, director or a promoter; or
- (ii) where a related person is a shareholder with more than ten per cent of paid up equity share capital; or
- (iii) where a related person is having control, whether singly or jointly with another person; or
- (iv) where a related person controls more than twenty per cent of voting rights on account of ownership or through a voting agreement or through any other arrangement; or
- (v) where a related person has the power to nominate a director to its Board; or
- (vi) which is accustomed to act on the advice, direction, or instruction of a related person; or
- (vii) where a related person is a guarantor or a surety; or
- (viii) where a related person is a trustee or an author or a beneficiary and where the entity is in the form of a private trust; or
- (ix) which is related to the related person as a subsidiary or a parent company or a holding company or an associate or a joint venture.

Provided that nothing sub-clause (v) above shall apply in cases where the authority to nominate a director arises exclusively from a lending or financing arrangement.

Provided further that nothing in sub-clause (vi) above shall apply to the advice, directions or instructions given in a professional capacity.

Provided further that Government of India/ State Government-owned or controlled entities shall not be treated as related parties to a government-owned

Company just by virtue of the fact that the Government has the common ownership or control of such entities.

2.12. “Relative” means relative as defined under Section 2(77) of the Companies Act, 2013, and rules framed therein, includes anyone who is related to another, if

- (i) They are members of a Hindu undivided family,
- (ii) They are husband and wife; or
- (iii) Father (including step-father)
- (iv) Mother (including step-mother)
- (v) Son (including step-son)
- (vi) Son’s wife
- (vii) Daughter
- (viii) Daughter’s husband
- (ix) Brother (including step-brother)
- (x) Sister (including step-sister)
- (xi) One person is related to the other in such manner as may be prescribed by Rule 4 of the Companies (Specification of Definitions Details) Rules, 2014.

2.13. “Specified Employees” shall mean all employees of the company who are positioned up to two level below the Board and any employee designated as such under this Policy.

3. Purpose of the Policy

The Company ensures that all related party transactions are undertaken in a transparent, fair, and compliant manner, safeguarding the interests of the Company, its shareholders, and stakeholders. This Policy establishes a structured framework for identification, approval, and disclosure of such transactions. The Policy aims:

- 3.1.To regulate transactions with related parties in accordance with the Companies Act, 2013, RBI Directions and other applicable laws.
- 3.2.To ensure that related party transactions are conducted in the ordinary course of business and on an arm’s length basis.
- 3.3.To provide a mechanism for prior approval, monitoring, and reporting of related party transactions.

- 3.4.To safeguard against conflicts of interest and protect the integrity of governance and ensure timely disclosure of related party transactions in financial statements and Board reports.

FRAMEWORK FOR APPROVAL, IDENTIFICATION, AND DISCLOSURE OF RELATED PARTY TRANSACTIONS

4. Role of Audit Committee and the Board

The governance of related party transactions within the Company is anchored in the oversight of the Audit Committee and the Board of Directors. Their collective responsibility is to ensure that all transactions are transparent, conducted on arm's length basis, compliant with statutory requirements, and aligned with the best interests of the Company and its stakeholders.

<u>Audit Committee</u>	<u>Board of Directors</u>
❖ All related party transactions of the Company (except lending/credit transactions which shall be approved by according to the provisions prescribed below on Lending to Related Parties) shall be presented before the Audit Committee of the Board and receive its prior approval from time to time. ❖ Related Party Transactions shall be approved by the Audit Committee constituted by the Board in accordance with applicable RBI Directions and the Companies Act, 2013. Any interested member shall abstain from discussion and voting. ❖ The Audit Committee shall verify whether each transaction is conducted at arm's length basis and in the ordinary course of business. ❖ The Audit Committee is responsible for the overall monitoring and supervision of the	❖ The prior approval of the Board for Related Party Transactions is required only when the transaction under Section 188 is not in the ordinary course of business or not on an arm's length basis. ❖ The Board shall be responsible to approve and amend this RPT Policy as and when required.

Related Party Transactions regime in the Company.	
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5. Disclosure and Identification of Related Parties

The Company ensures that all Directors, KMPs, and Specified Employees provide timely and accurate disclosures of their interests and relationships with related parties. This framework establishes the responsibility of individuals to notify, update, and declare such interests, and sets out the Company's mechanisms for annual and quarterly reporting, internal audit reviews, and compliance with statutory requirements under the Companies Act, 2013, RBI Directions and applicable laws.

- 5.1. Each Director and KMP shall annually disclose their concern or interest in any company, body corporate, firm, or association of individuals in the prescribed format as per Companies Act, 2013.
- 5.2. Each Director, KMP and Specified Employee shall additionally disclose all transactions involving their relatives listed in the accompanying Schedule and in the format prescribed under Companies Act, 2013.
- 5.3. Declaration shall be in format as prescribed under Companies Act, 2013, and include disclosure of relative concern or interest in any Company, companies or bodies corporate, firms or such other association of individuals which shall include the shareholding, directorship, membership, partnership, etc.
- 5.4. Each Director, KMP and Specified Employee is responsible to update the Board of any changes in the above relationships, directorships, holdings, interests and/or controls immediately on him/her becoming aware of such changes.
- 5.5. Such Directors, KMPs and Specified Employee will also be responsible for providing additional information requested by the Board in relation to a transaction, and must be submitted in the format prescribed under Companies Act, 2013.
- 5.6. No member of the Company who is a related party shall vote on any resolution to approve a related party contract or arrangement, in accordance with Section 188(1) of the Companies Act, 2013.

6. Approval Process for Related Party Transactions

Approval by Audit Committee:

- 6.1. A comprehensive analysis of each RPT shall be conducted before determining its impact and the appropriate course of action regarding approval requirements from the relevant authorities.
- 6.2. All Related Party Transactions (other than Lending to Related Parties) shall be approved by the Audit Committee of the Company. The Audit Committee shall consider all relevant factors while deliberating the Related Party Transactions for its approval.
- 6.3. Any member of the Audit Committee with a potential interest in any Related Party Transactions will abstain from discussion and voting on the approval of the Related Party Transactions.
- 6.4. Omnibus Approval:
 - 6.4.1. Notwithstanding anything contained in this Policy, the Audit Committee may, if it considers it appropriate in the future, adopt the omnibus approval mechanism for repetitive Related Party Transactions of a routine nature, in accordance with Section 177 of the Companies Act, 2013, Rule 6A of the Companies (Meetings of Board and its Powers) Rules, 2014, and other applicable laws.
 - 6.4.2. In the event the Company adopts the omnibus approval mechanism, the Audit Committee shall, lay down the criteria for granting omnibus approval, including the maximum value of transactions in aggregate and per transaction, the extent and manner of disclosures to be made to the Audit Committee, the periodic review mechanism, and the categories of transactions that shall not be eligible for omnibus approval. The Audit Committee shall satisfy itself that the proposed transactions are repetitive in nature, that there is a genuine business need for granting omnibus approval, and that such approval is in the interest of the Company.
 - 6.4.3. Each omnibus approval shall specify or indicate, to the extent applicable, the name of the related party, the nature and duration of the transaction, the maximum amount of the transaction, the indicative base price or current contracted price and the formula for variation in price, if any, and such other conditions or information as the Audit Committee may consider relevant. Where the need for a Related Party Transaction cannot be foreseen and the requisite

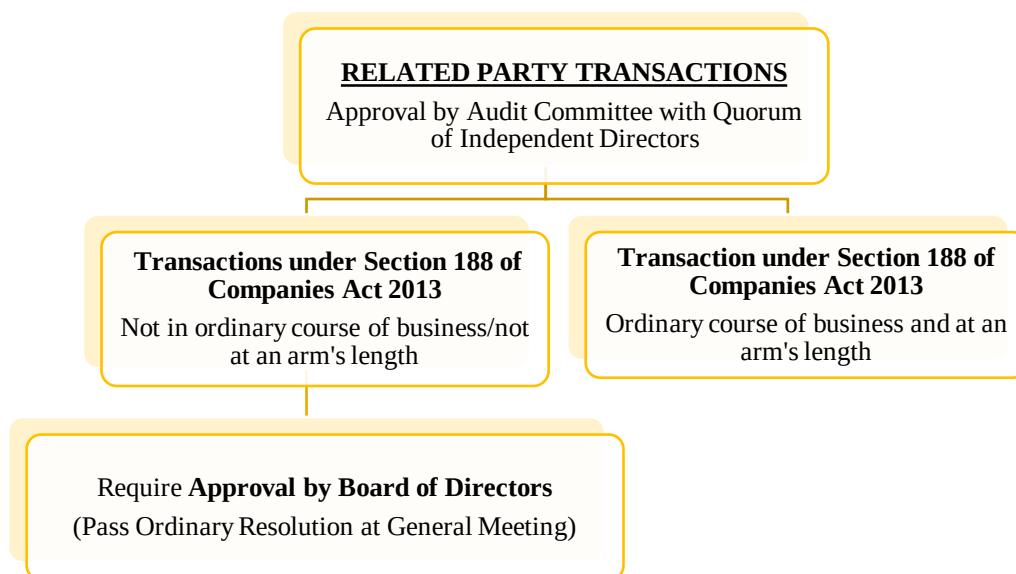
details are not available, the Audit Committee may grant omnibus approval for such transaction, subject to the limits prescribed under applicable law.

- 6.4.4. Any omnibus approval granted under this Policy shall remain valid for a period not exceeding one financial year and shall require fresh approval after the expiry of such financial year. The Audit Committee shall review the transactions undertaken pursuant to the omnibus approval at such intervals as it may deem appropriate and, in any event, shall undertake an annual review at the first Audit Committee meeting of each financial year. Based on such review, the Audit Committee may renew, modify, or revoke the omnibus approval for the ensuing financial year.

Note: Omnibus approval shall not be granted for transactions relating to the sale or disposal of the undertaking of the Company or for such other transactions as may be prohibited under applicable law.

Approval by the Board of Directors

- 6.5 The Company ensures that the transactions falling under Section 188 of the Companies Act, 2013 shall be as per the ordinary course of business and at an arm's length basis. Where the transactions are not in the ordinary course of business or not at an arm's length basis, prior approval of the Board of Directors shall be obtained.
- 6.6 The Company shall maintain documentary evidence demonstrating that the pricing, collateral, repayment terms and other conditions are comparable to those applicable to unrelated borrowers with similar risk characteristics.
- 6.7 In furtherance to the aforementioned, the Board shall approve the transaction at the general meeting by an ordinary resolution.
- 6.8 No preferential terms shall be granted solely on account of the borrower's relationship with the Company.
- 6.9 All transactions entered into by the Company with related parties shall be governed strictly in accordance with this Policy.



(Figure- Related Party Transaction – Approval Process)

In accordance with Rule 15 of the Companies (Meetings of Board and its Powers) Rules, 2014, related party transactions exceeding the prescribed thresholds shall require prior approval of the shareholders by way of an ordinary resolution, based on the last audited financial statements.

Provided further that the requirement of passing such resolution shall not apply to transactions entered into between the Company and its wholly owned subsidiary, whose accounts are consolidated with the Company and placed before the shareholders at the general meeting for approval.

7. Basis for Evaluating Related Party Transactions



7.1. To determine whether transactions with related parties are conducted at Arm's Length Basis, the Company shall apply the following criteria-

i.	The contracts/ arrangements are entered into with related parties, at such prices/ discounts/premiums and on such terms which are offered to un-related parties of similar category/ profile, if available.
ii.	The contracts/ arrangements have been commercially negotiated.
iii.	The pricing is arrived at as per the latest guidelines that may be issued by the Ministry of Corporate Affairs, Government of India/ Income Tax Act, 1961 as applicable to any of the contract/ arrangements contemplated under the Act.
iv.	The payments to group companies are made in the manner and at such rates prevalent in the market for similar category of goods and services and similar category/ profile of customers.
v.	Any modification to the original contract/ arrangements is substantially on the same price/discount/ premium and on such terms, as offered to un-related parties of similar category/ profile.
vi.	Such other criteria as may be issued under IND AS 24 or by any other statutory/ regulatory authority.

7.2. To assess whether a transaction falls within the ordinary course of business, the Company shall consider:

i.	Whether such contract/ arrangement is relevant to the attainment of the main objects as set out in its Memorandum of Association or such other activities as may be permitted, from time to time by the Reserve Bank of India, the principal regulator of the Company
ii.	To decide whether the transaction contemplated under the proposed contract or arrangement is similar to contracts or arrangements undertaken in the past, or, when undertaken for the first time, whether the Company intends to carry out similar transactions in the future
iii.	Further, whether the transaction value is within the reasonable range for similar types of other transactions, will also be an important consideration. An exceptionally large value transaction should invite closer scrutiny
iv.	These are not exhaustive criteria and the Company shall assess each transaction considering its specific nature and circumstances. In case of any ambiguity in

classification the matter shall be referred to the Audit Committee for determination, whose decision shall be final.

8. Compliance and Disclosure Requirements

The Company is committed to transparent reporting and strict compliance with statutory and regulatory obligations. This section outlines the responsibilities of Directors, KMPs, and Specified Employees in declaring interests, maintaining registers, and ensuring proper disclosure of related party transactions.

- 8.1. All Directors, KMPs and Specified Employees are responsible for informing the Company of their interest (including the interest of their Relatives) in other companies, firms, or concerns at the beginning of every financial year and any change in such interest during the year, immediately on occurrence.
- 8.2. Further, Directors, KMPs and Specified Employees should disclose to the Board whether, directly/indirectly, or on behalf of third parties, their material interest in any transaction or matter directly affecting the Company.
- 8.3. The related party transaction entered into with the related parties shall be disclosed in the Financial Statement as per the disclosure requirement of the Companies Act 2013. Every contract or arrangement entered into with a related party under **Section 188(1)** shall be disclosed in the Director's Report to the shareholders, along with the justification for entering into such contract or arrangement, in accordance with the Companies Act, 2013.
- 8.4. Disclosures for directors and relatives of directors should be made separately in separate columns from other KMPs and relatives of other KMPs.
- 8.5. In compliance to Section 189 of the Companies Act, details of Related Party Transactions and Related Parties should be recorded in the statutory register and entries made in the register shall be authenticated by the directors at the next Board Meeting of the Company and needs to be kept open for inspection by the shareholders at the annual general meeting.

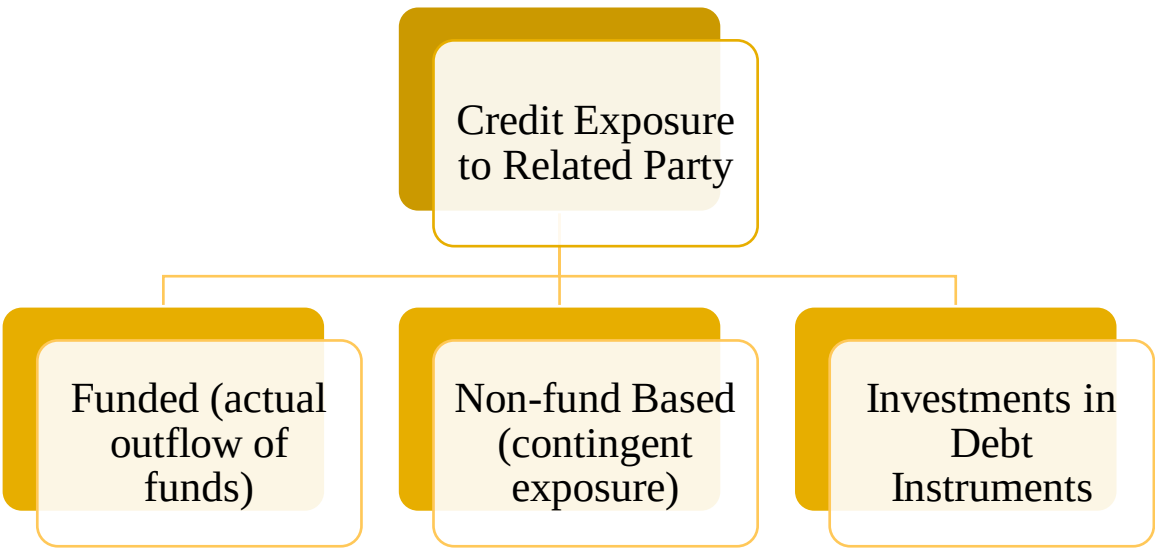
9. Ratification & Indemnification Framework

The Company ensures that any related party transaction entered into without prior approval is subject to timely ratification, review, and corrective action in line with Section 188 of the Companies Act, 2013. This framework sets out the process for ratification, modification, or indemnification to safeguard the Company's interests.

- 9.1. Related Party Transactions that are not approved by the Audit Committee/Board of the Company in accordance with this Policy, may be ratified subjected to the applicable provisions of the Companies Act 2013.
- 9.2. In accordance with Section 188(3) of the Companies Act, 2013, any Related Party Transaction entered into without prior approval must be ratified within three months. If such ratification is not obtained, the transaction shall be voidable at the option of the Board, and the concerned related party shall indemnify or reimburse the Company for any benefits derived.
- 9.3. If post review, the appropriate authority is satisfied that the RPT are not detrimental to the interest of the Company, it may be ratified with or without the modification.

LENDING TO RELATED PARTIES

Lending in the context of a 'related party' shall mean extending funded or/ and non-fund-based credit facilities to related parties. While investments in debt instruments of related parties shall be covered for this purpose, equity investments shall be excluded.



Funded Credit Facilities: Funded credit facilities are those where the Company directly disburses funds to the borrower, resulting in an on-balance sheet asset. These may include term loans (secured/unsecured), working capital loans, inter-corporate loans, etc.

Non-Fund Based Credit Facilities: These facilities are contingent liabilities where funds are not immediately disbursed, but the Company undertakes to pay upon occurrence of a specified event. These may include Guarantees, Letters of Credit, deferred payment guarantees, etc.

Debt instruments issued by Related Parties including but not limited to debentures, bonds, commercial papers, optionally convertible debentures (OCDs), or other debt securities are treated as “lending” because, in substance, they represent the extension of credit and creation of repayment obligation.

In regulatory terms, “lending” to a related party focuses on credit exposure and repayment risk, which includes loans, guarantees, and debt instruments, while equity investments are excluded as they represent ownership risk rather than lending risk.

10. Threshold, Limits and Approval Mechanism

- 10.1. **Materiality Threshold:** All loans and credit facilities extended to Related Parties, including personal loans to Directors or Key Managerial Personnel (KMP), shall be subject to a materiality threshold **not exceeding ₹5 Crore** per individual transaction, or such other limit as may be prescribed by the Reserve Bank of India from time to time.

For the purpose of this Policy, the materiality threshold shall apply at the level of each individual transaction, and not on an aggregate exposure basis, unless otherwise specified under applicable regulatory provisions.

- 10.2. **Category-Based Thresholds:** The Company may prescribe differentiated materiality thresholds for various categories of Related Parties or types of loan products (e.g., secured loans, unsecured loans, etc.), provided that such thresholds shall in no event exceed the ceiling of ₹5 Crore per transaction as stated above. Any such categorisation and threshold limits shall be approved by the Board and documented appropriately.

- 10.3. **Approval of Loans Above Materiality Threshold:** Any loan or credit facility to a Related Party exceeding the prescribed materiality threshold shall require prior approval of the **Board of Directors**.

The proposal placed before the Board shall, inter alia, contain:

- ❖ Details of the borrower and nature of relationship;
- ❖ Purpose, nature, amount, tenor, interest rate, and security details of the proposed facility
- ❖ Credit appraisal and risk assessment;
- ❖ Pricing and terms demonstrating arm's-length compliance;
- ❖ Details of aggregate existing exposure and justification for the proposed exposure; and
- ❖ Confirmation of compliance with applicable regulatory and internal exposure limits.

Interested Directors, if any, shall recuse themselves from deliberations and voting in accordance with applicable law and this Policy.

- 10.4. **Approval of Loans Below Materiality Threshold:** Loans to Related Parties falling below the prescribed materiality threshold may be sanctioned by the **appropriate authority** in accordance with the powers delegated under the Company's approved credit delegation framework (Approval Matrix) as prescribed under the *Credit Policy* of the Company. Such sanctions shall remain subject to compliance with:

- ❖ Prudential exposure norms prescribed by RBI;

- ❖ Arm's-length principles;
- ❖ Independent credit appraisal standards; and
- ❖ All conflict-of-interest safeguards under this Policy.

11. Monitoring of Loans to Related Parties

11.1. Maintenance of Records and Periodic Updation

- ❖ The Company shall maintain a comprehensive and up-to-date register of all Related Persons and Related Parties thereof, in accordance with applicable statutory and regulatory definitions.
- ❖ The register shall include details of all loans and credit facilities sanctioned to such Related Persons and Related Parties, including the nature of relationship, sanction terms, outstanding exposure, security details, and status of the account.
- ❖ The said records shall be reviewed and updated on a periodic basis to ensure accuracy, completeness, and regulatory compliance. Any change in the status of a Related Party or modification in loan terms shall be promptly captured in the records.

11.2. Board Reporting – Specified Employees

- ❖ Loans sanctioned to 'Specified Employees' and their relatives shall be reported to the Board of Directors at least on an annual basis.
- ❖ The report shall include details of sanctions, outstanding exposures, compliance with arm's-length principles, and confirmation of adherence to the Policy and applicable regulatory norms.
- ❖ The Board shall review such exposures from a governance and risk perspective.

11.3. Internal Audit and Periodic Review

- ❖ The Internal Audit function of the Company shall conduct periodic reviews, at quarterly intervals or more frequently where deemed necessary, to assess

compliance with this Policy and with applicable regulatory directions governing lending to Related Parties.

11.4. Reporting of Deviations

- ❖ Any deviation from the provisions of this Policy, including procedural lapses, approval irregularities, pricing deviations, or exposure limit breaches, shall be promptly reported to the **Audit Committee of the Board (ACB)** along with:
 - a. Detailed reasons for such deviation;
 - b. Corrective and remedial actions proposed or undertaken; and
 - c. Accountability measures, where applicable.

The Audit Committee shall review such deviations and may issue appropriate directions to ensure future compliance.

Reciprocal Lending/Quid Pro Quo Arrangements

Reciprocal lending/Quid Pro Quo Arrangements refers to an arrangement whether formal or informal - where two or more entities extend credit to each other's related parties, directly or indirectly, with the understanding or effect that each entity benefits by avoiding direct lending to its own related party.

11.5. Regulatory Compliance and Supervisory Directions

- ❖ The Company shall duly comply with, and give full effect to, all instructions, observations, advisories, or directions issued from time to time by its auditors, the Reserve Bank of India ("RBI"), or any other competent supervisory, regulatory, or investigating authority in relation to lending to Related Parties or matters governed under this Policy. Any such observations or directions shall be promptly examined, and appropriate corrective or remedial action shall be undertaken within the prescribed timelines.

- ❖ The Company acknowledges that any non-compliance with the applicable regulatory Directions may attract supervisory and enforcement actions by the RBI, including but not limited to imposition of monetary penalties, requirement of full provisioning, initiation of forensic or special audits, directions to conduct staff accountability exercise, issuance of supervisory restrictions, or limitations on business activities. Accordingly, as part of its commitment to sound governance and responsible lending practices, the Company affirms that it shall comply with the applicable Directions in their full scope, letter, and spirit, and shall ensure that this Policy is implemented in a manner consistent with regulatory expectations.

12. Aggregate Exposure Limits and Sub-Limits for Lending to Related Parties

The aggregate outstanding exposure arising from all funded and non-funded credit facilities extended to all Related Parties taken together shall not, at any time, exceed 5 times of the Company's Tier 1 Capital. The following sub-limits shall operate within, and shall not be construed as being in addition to, this overall aggregate limit:

OVERALL AGGREGATE LIMIT	SINGLE RELATED PARTY	GROUP OF RELATED PARTIES
5 times of Tier 1 Capital (All Related Parties taken together)	25% of Tier 1 Capital	40% of Tier 1 Capital

For the purposes of applying the above limits, Tier 1 Capital and exposure shall be computed in accordance with the applicable RBI Directions. Each facility shall also remain subject to the approval requirements under this Policy, the Companies Act, 2013, the Company's Credit Policy and all other applicable prudential or internal exposure limits; where more than one limit applies, the most restrictive limit shall prevail.

Clarification – Narrow Exemption under the Concentration Risk Management Directions: Paragraph 17 of the RBI (Non-Banking Financial Companies – Concentration Risk Management) Directions, 2025 exempts (a) investments in shares of subsidiaries/group companies, and (b) debentures, bonds, loans, advances, and deposits with subsidiaries/group companies, from the exposure norms, but only 'to the extent they have been reduced from Owned Funds for the

calculation of NOF.’ This is a narrow, technical exemption that applies only to the specific amount already netted out of Owned Funds when computing Net Owned Fund (NOF), so as to avoid double-counting the same amount both as a capital deduction and as an exposure. It does not exempt related-party lending generally, and does not override the 25%/40% single-party/group-party sub-limits set out above. Any exposure to a subsidiary or group company that has not been so deducted from Owned Funds remains fully subject to those sub-limits and the overall aggregate limit. The Company’s Finance function shall confirm, on a case-by-case basis, whether a specific exposure qualifies for this exemption before excluding it from the limits computation.

No credit facility shall be sanctioned, disbursed, renewed, reviewed or enhanced if it would cause any of the above limits to be exceeded. Any actual or potential breach shall be reported promptly to the Board of Directors together with a time-bound corrective action plan. The Company shall monitor these limits on an ongoing basis and review them at least annually, and also upon any material change in Tier 1 Capital or the applicable regulatory framework.

13. Safeguards to address the risks corresponding to Lending to Related Parties

Risk	Safeguard/Control Mechanism
Enhanced Credit Assessment Standards	All lending to related parties shall be subject to rigorous and independent credit appraisal standards, including detailed assessment of financial strength, cash flows, repayment capacity, business viability, and sensitivity to adverse conditions. No relaxation in underwriting standards shall be permitted solely on account of the relationship.
Arm’s Lenth Pricing and Terms	Credit facilities extended to related parties shall be priced and structured on an arm’s-length basis, consistent with prevailing market rates and comparable transactions with unrelated counterparties of similar risk profiles and tenor. Any deviation shall require documented justification and higher-level approval. The pricing rationale and market comparable relied upon shall be documented and retained for audit and regulatory inspection purposes.

Robust Documentation and Security	All related-party lending transactions shall be supported by comprehensive legal documentation, enforceable covenants, and appropriate security or collateral, wherever applicable. Documentation standards shall be no less stringent than those applicable to non-related counterparties.
Whistleblowing Mechanism	Encourage employees to communicate confidentially and without the risk of reprisal, legitimate concerns about irregular, unethical, or questionable loans to related parties; and eliminate quid pro quo arrangements, if any.
Recusal of Interested Parties	Directors, KMP, or Specified employees shall recuse themselves from deliberations and decision on loan proposals, or contracts and arrangements, involving themselves or their related parties. Such recusal shall also extend to deliberations and decisions relating to any subsequent material changes to the terms of such loans, including one-time settlements, write-offs, waivers, enforcement of security, implementation of resolution plans, etc.
Independent Approval and Oversight	The Board may constitute a Committee on Lending to Related Parties or designate any existing Committee (other than the Audit Committee) for sanction of loans to related parties, in accordance with approved thresholds and delegation frameworks.
Record Maintenance	The Company shall maintain and periodically update the list of all the related persons, and the related parties, as well as the loans sanctioned to such related persons and related parties.
Anti-Circumvention Principle	The Company shall not enter into any structure, arrangement, or transaction intended to circumvent regulatory restrictions on related-party lending.